

China Healthcare

Marketing takeaways: The best non-AI play

Equities Healthcare

China

- ◆ China A/H healthcare index rebounded 16%/11% from its low on 26 June
- ◆ Stronger position backed by solid growth and industry globalisation momentum
- ◆ Prefer: Wuxi Bio, Pharmaron, Keymed, and Innovent; all Buys

We had over 30 offline client meetings in Singapore, Hong Kong, and Shanghai over the past two weeks. The major investors are changing from specialists to generalists and tech-PMs vs one month ago ([Marketing takeaways, 18 June 2026](#)). Key topics:

How to play China healthcare when the AI narrative changes? Innovative drugs, CDMO, AIDD (AI drug discovery), and surgery robotics are among the most discussed topics. Since 26 June, the H/A-share healthcare index has risen 16%/11%, outperforming the HSI by 7ppt, and the CSI300 by 19ppt over the same period. The market believes this is due to: (1) the unwinding of AI funds; (2) the inflow of AI/tech/ consumer funds with promising 1H26 results; and (3) rotation to non-AI sectors and positioning healthcare as an aggressive sector with a global story driven by innovation. Global investors are most interested in CDMO and biotech/pharma sectors. Wuxi Aptec is heavily owned given its high expectations for 1H26, while Wuxi Bio/ Pharmaron are preferred for accelerating their growth rate outlook and margin expansion in FY26-28. For biotech/pharmaceuticals, Innovent/Kelun Bio are preferred by both generalists and specialists, given their strong domestic growth and visible global story. Among pharmaceuticals, CSPC and Hansoh are widely discussed for their business development (BD) momentum and valuation breakdown. As such, companies with a global growth story in China's healthcare system are becoming consensus plays when the AI theme is volatile.

What is the key debate for China healthcare – how long will the rally last, and what is next? According to feedback from clients, China healthcare is still largely underweight. Key debates include: (1) uncertainty surrounding domestic policies including biosimilar VBP, medical device VBP, and the repricing of healthcare service fees in public hospitals; (2) AI is back in focus, which could drive capital rotation away from healthcare; and (3) the impact of US Biosecure Act list and bill restricting cross-border biotech BD transactions. Investors think this time the rally relates to value discovery, which is lagging strong 1H26 BD momentum. As a result, the market expects it to last until 31 July or 1 September, until mid-year results. However, because of the impact of the anti-corruption drive, the market lowered its expectations in pharmaceuticals, medical devices, and hospital growth. We believe the next catalysts for China biotech will relate to commercialisation in the US market, ESMO data, and Harmoni 3 data.

Maintain Buy on Wuxi Biologics, Pharmaron, Keymed, and Innovent. We expect robust growth in China's CDMO and biotech industries, supported by an expanding global footprint and strong data readouts from clinical programmes. Moreover, we believe the healthcare innovation industry is in a strong position both in terms of near-term catalysts and long-term potential.

Linda Shu*, PhD (Reg. No. S1700522120001)
Head of China Healthcare Research
HSBC Qianhai Securities Limited
linda.y.l.shu@hsbcqh.com.cn
+86 755 88983246

Oliver Wang* (Reg. No. S1700523100003)
Analyst, China Healthcare Research
HSBC Qianhai Securities Limited
oliver.h.y.wang@hsbcqh.com.cn
+86 21 5066 2058

Cindy Chai* (Reg. No. S1700523040001)
Analyst, China Healthcare Research
HSBC Qianhai Securities Limited
cindy.x.r.chai@hsbcqh.com.cn
+86 21 5066 2005

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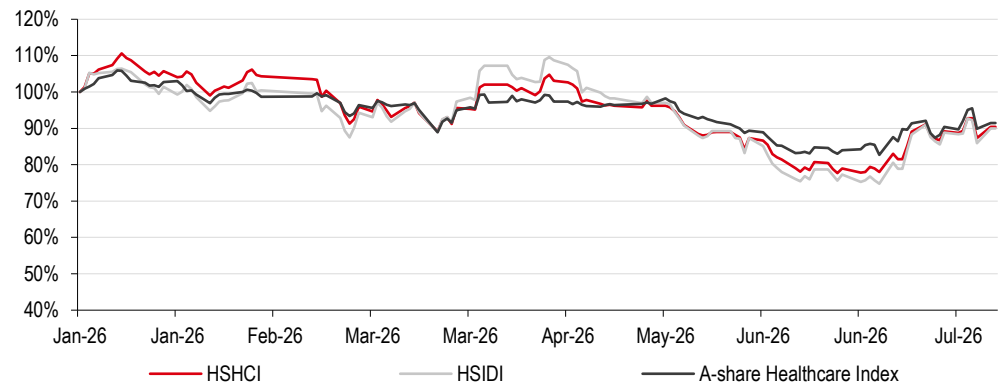
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Industry update

Exhibit 1. Y-t-d performance of China Healthcare index



Source: Wind, HSBC Qianhai Securities

Exhibit 2. North Bound Holding and changes

North Bound Holding	2Q26 (%)	1Q26 (%)	q-o-q	y-o-y
Pharma	4.68	5.46	-0.78	-1.92
Device	5.27	5.72	-0.45	-2.94
CXO	9.93	7.03	2.90	-0.60
Pharmacies	2.73	2.78	-0.05	-0.26
Distributors	2.04	1.43	0.61	-0.78
Services	1.33	1.50	-0.18	-0.70
ICL	5.84	5.75	0.09	-2.49

Source: Wind, HSBC Qianhai Securities

Exhibit 3. South Bound Holding and changes

South Bound Holding	2Q26 (%)	1Q26 (%)	q-o-q	y-o-y
Pharma	19.74	19.50	0.24	0.04
Biotech	32.91	33.57	-0.66	-5.47
CXO	16.81	20.39	-3.58	-5.38
Distributors	27.32	31.55	-4.23	-2.45
Services	33.58	37.70	-4.12	0.75
ICL	2.94	3.13	-0.19	0.98

Source: Wind, HSBC Qianhai Securities

Exhibit 4. Expected commercialisation impact

Timeline	Key products		
2026 NDA	Kelun Bio Trop 2 ADC	Keymed Claudin 18.2 ADC	Akeso AK112
2027 Ph3	Hansoh B7H3, B7H4	Beone CDK4	Innovent PD1/IL2

Source: PharmCube, HSBC Qianhai Securities

Valuation and risks

Valuation		Risks
WuXi Biologics 2269 HK Buy	Current price: HKD38.26 Target price: HKD46.80 Upside: +22%	We continue to use a DCF model to value WuXi Bio. Our key assumptions include a WACC of 9.0% (based on a risk-free rate of 4.25% and a market risk premium of 4.25%), a terminal growth rate of 3.5% and an end-2026e RMB-HKD exchange rate assumption of 1.17 (all unchanged). Our target price of HKD46.80 implies c22% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks ◆ Progress of potential US legislation to restrict US pharmaceutical companies to have contracts with WuXi Biologics. ◆ A larger-than-expected impact from US tariffs. ◆ A longer-than-expected high US interest rate period that constrains the financing capability and project outsourcing demand of biotechnology companies. ◆ Overbuilt capacity for WuXi Bio with demand shrinking among US and European customers. ◆ Regulatory tightening.
	Linda Shu*, PhD (Reg. No. S1700522120001) linda.y.l.shu@hsbcqh.com.cn +86 755 88983246	
Pharmaron 300759 CH / 3759 HK Buy/Buy	Current price: RMB37.28 HKD23.48 Target price: RMB42.80 HKD30.80 Upside: +15%/+31%	We use a DCF model to value the A-share. The key assumptions in our valuation model include a WACC of 8.7% (based on a risk-free rate of 4.25%, a China A-share market risk premium of 4.75%, and a 2-year weekly beta coefficient of 1.26), and a terminal growth rate of 3.0%. We derive our target price of RMB42.80 for the A-shares (unchanged), which implies c15% upside from current levels. We maintain our Buy rating on the stock as we see high growth visibility in demand rebound driven by funding recovery. All our assumptions are unchanged. For the H-share, we apply a H/A-share discount of 0.72x, based on its five-year average, and an RMB-HKD FX rate of 1.17, to derive our H-shares target price of HKD30.80, which implies c31% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks ◆ Worsening geopolitical tensions and global supply chain relocation. ◆ Margin pressure from worsening competition. ◆ Failure to meet regulatory standards, more stringent compliance, and regulatory delays. ◆ Failure of project delivery and loss of significant clients ◆ FX fluctuations.
	Linda Shu* PhD (Reg. No. S1700522120001) linda.y.l.shu@hsbcqh.com.cn +86 755 88983246	
Keymed 2162 HK Buy	Current price: HKD87.20 Target price: HKD105.00 Upside: +20%	We continue to use a DCF model to value Keymed. Our valuation is based on a risk-free rate of 4.25%, a market risk premium of 4.75% for a mainland China company listed in Hong Kong, a 1-year historical mean beta of 1.1, and a terminal growth rate of 4%, in line with our other covered biotech companies. Our target price implies 20.4% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks ◆ CMG901's failure to file an NDA in US/EU for treating 2L+ CLDN18.2 ADC due to a phase III study failure. ◆ CM310's domestic sales growth misses market expectations due to intense market competition from Sanofi's Dupi and/or domestic IL4R launched by peers. ◆ Worse-than-expected efficacy and safety performance of CM512 (IL13/TSLP) could impact BD potential. ◆ Lower-than-expected efficacy results in overseas phase III could impact CM336 and CMG901's sales growth in both China and the overseas market. ◆ Delay or failure to launch other late-stage assets could hurt sales in the short term. ◆ Slower-than-expected breakeven timeline or faster-than-expected increase in expenses could impact cash flow. ◆ Worse-than-expected domestic competitive landscape for ADC assets could hurt sales. ◆ Worse-than-expected domestic anti-corruption campaign could impact new drug sales growth.
	Linda Shu* PhD (Reg. No. S1700522120001) linda.y.l.shu@hsbcqh.com.cn +86 755 88983246	
Innovent 1801 HK Buy	Current price: HKD92.50 Target price: HKD120.00 Upside: +30%	We continue to use DCF model to value the stock. We derive our target price of HKD120.00 (unchanged), based on a WACC of 9.0% (unchanged), derived from a risk-free rate of 4.25%, an equity risk premium of 4.75% (unchanged), a terminal growth rate of 3.6% (unchanged), and HSBC Global Investment Research FX team's end-2026 RMB-HKD FX rate forecast of 1.17 (unchanged). Our target price implies c30% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks ◆ Slower-than-expected R&D progress for Innovent's key pipeline candidates. ◆ Faster-than-expected nationwide volume-based procurement (VBP) for biosimilars, which could hurt top-line growth potential. ◆ Lower-than-expected domestic sales due to intense competition. ◆ Failure in late-stage clinical trials could affect new drugs' launch and its potential to go global.
	Linda Shu*, PhD (Reg. No. S1700522120001) linda.y.l.shu@hsbcqh.com.cn +86 755 88983246	

Note: Priced as of 20 July 2026. *Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations.
Source: Wind, HSBC Qianhai Securities estimates

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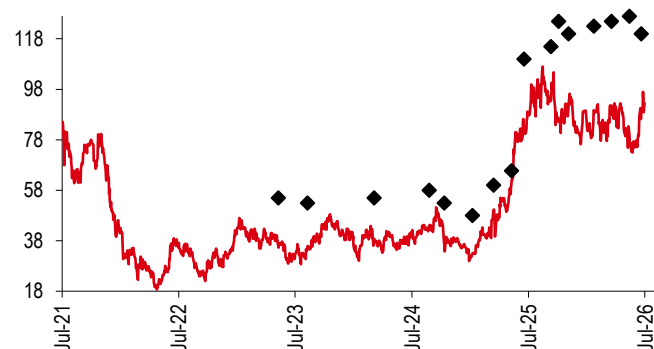
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Share price and rating changes for long-term investment opportunities

Innovent Biologics (1801.HK) share price performance HKD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	04 Dec 2020	Rachel Yang, CFA
Target price	Value	Date	Analyst
Price 1	55.00	29 May 2023	Linda Shu, PhD
Price 2	53.00	29 Aug 2023	Linda Shu, PhD
Price 3	55.00	25 Mar 2024	Linda Shu, PhD
Price 4	58.00	13 Sep 2024	Linda Shu, PhD
Price 5	53.00	30 Oct 2024	Linda Shu, PhD
Price 6	48.00	27 Jan 2025	Linda Shu, PhD
Price 7	60.00	03 Apr 2025	Linda Shu, PhD
Price 8	65.80	29 May 2025	Linda Shu, PhD
Price 9	110.00	07 Jul 2025	Linda Shu, PhD
Price 10	115.00	30 Sep 2025	Linda Shu, PhD
Price 11	125.00	24 Oct 2025	Linda Shu, PhD
Price 12	120.00	24 Nov 2025	Linda Shu, PhD
Price 13	123.00	11 Feb 2026	Linda Shu, PhD
Price 14	125.00	07 Apr 2026	Linda Shu, PhD
Price 15	127.00	02 Jun 2026	Linda Shu, PhD
Price 16	120.00	10 Jul 2026	Linda Shu, PhD

Source: HSBC

Keymed (2162.HK) share price performance HKD Vs HSBC rating history

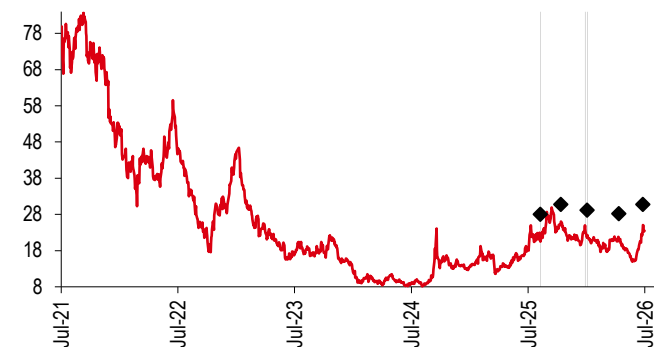


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	08 Jul 2026	Cindy Chai
Target price	Value	Date	Analyst
Price 1	105.00	08 Jul 2026	Cindy Chai

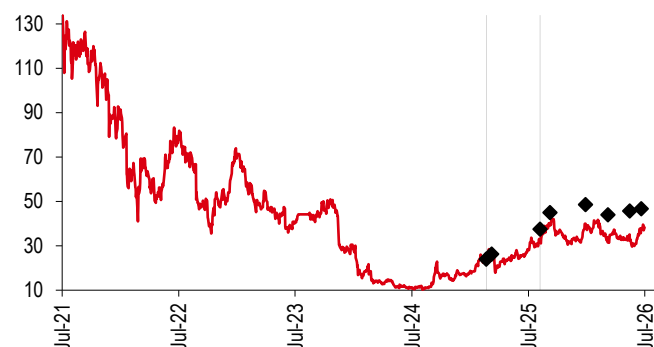
Source: HSBC

Pharmaron (3759.HK) share price performance HKD Vs HSBC rating history


Source: HSBC

Pharmaron A (300759.SZ) share price performance CNY Vs HSBC rating history


Source: HSBC

Wuxi Biologics (2269.HK) share price performance HKD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	28 Aug 2025	Linda Shu, PhD
Buy	Restricted	14 Jan 2026	Linda Shu, PhD
Restricted	Buy	21 Jan 2026	Linda Shu, PhD
Target price	Value	Date	Analyst
Price 1	28.10	28 Aug 2025	Linda Shu, PhD
Price 2	30.80	31 Oct 2025	Linda Shu, PhD
Price 3	Restricted	14 Jan 2026	Linda Shu, PhD
Price 4	29.20	21 Jan 2026	Linda Shu, PhD
Price 5	28.20	30 Apr 2026	Linda Shu, PhD
Price 6	30.80	15 Jul 2026	Linda Shu, PhD

Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	28 Aug 2025	Linda Shu, PhD
Buy	Restricted	14 Jan 2026	Linda Shu, PhD
Restricted	Buy	21 Jan 2026	Linda Shu, PhD
Target price	Value	Date	Analyst
Price 1	37.50	28 Aug 2025	Linda Shu, PhD
Price 2	41.00	31 Oct 2025	Linda Shu, PhD
Price 3	Restricted	14 Jan 2026	Linda Shu, PhD
Price 4	40.50	21 Jan 2026	Linda Shu, PhD
Price 5	39.10	30 Apr 2026	Linda Shu, PhD
Price 6	42.80	15 Jul 2026	Linda Shu, PhD

Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Hold	11 Mar 2025	Linda Shu, PhD
Hold	Buy	26 Aug 2025	Linda Shu, PhD
Target price	Value	Date	Analyst
Price 1	24.00	11 Mar 2025	Linda Shu, PhD
Price 2	26.30	28 Mar 2025	Linda Shu, PhD
Price 3	37.50	26 Aug 2025	Linda Shu, PhD
Price 4	45.00	26 Sep 2025	Linda Shu, PhD
Price 5	48.60	16 Jan 2026	Linda Shu, PhD
Price 6	44.00	27 Mar 2026	Linda Shu, PhD
Price 7	45.80	03 Jun 2026	Linda Shu, PhD
Price 8	46.80	10 Jul 2026	Linda Shu, PhD

Source: HSBC

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INNOVENT BIOLOGICS	1801.HK	92.50	20 Jul 2026	4, 7, 11
KEYMED	2162.HK	87.20	20 Jul 2026	7
PHARMARON	3759.HK	23.48	20 Jul 2026	1, 5, 6, 7
PHARMARON A	300759.SZ	37.28	20 Jul 2026	1, 5, 6, 7
WUXI BIOLOGICS	2269.HK	38.26	20 Jul 2026	4, 6, 7, 11

Source: HSBC

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Unit 2201, 22/F, Qianhai Chow Tai Fook Finance Tower (Phase I), No. 66 Shu Niu Avenue, Nanshan Subdistrict, the Shenzhen Qianhai Shenzhen-Hong Kong Cooperation Zone, the PRC

Phone number: +86 755 8898 3288

Website: www.hsbcqh.com.cn

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